

Intermodal Motor Carriers Conference, et al.

v.

Ocean Carrier Equipment Management Association, Inc., et al.

FMC Docket No. 20-14

**Respondents' Memorandum of Law in Opposition to
Complainant's Motion for Summary Decision**

Public - Unrestricted

BEFORE THE FEDERAL MARITIME COMMISSION

INTERMODAL MOTOR CARRIERS CONFERENCE,
AMERICAN TRUCKING ASSOCIATIONS, INC.

Complainant,

v.

OCEAN CARRIER EQUIPMENT MANAGEMENT
ASSOCIATION, INC.; CONSOLIDATED CHASSIS
MANAGEMENT, LLC; CMA CGM S.A.; COSCO
SHIPPING LINES CO. LTD.; EVERGREEN LINE
JOINT SERVICE AGREEMENT, FMC NO. 011982;
HAPAG-LLOYD AG; HMM CO. LTD.; MAERSK
A/S; MSC MEDITERRANEAN SHIPPING
COMPANY S.A.; OCEAN NETWORK EXPRESS
PTE. LTD.; WAN HAI LINES LTD.; YANG MING
MARINE TRANSPORT CORP.; AND
ZIM INTEGRATED SHIPPING SERVICES,

Respondents.

FMC Docket No. 20-14

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TO COMPLAINANT'S MOTION FOR SUMMARY DECISION**

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**RESPONDENTS' MEMORANDUM OF LAW IN OPPOSITION
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CMA CGM S.A. (“CMA”), COSCO Shipping Lines Co. Ltd. (“COSCO”), Evergreen Line Joint Service Agreement, FMC No. 011982 (“Evergreen”), Hapag-Lloyd AG (“Hapag-Lloyd”), HMM Co. Ltd. (“HMM”), Maersk A/S (“Maersk”), MSC Mediterranean Shipping Company S.A. (“MSC”), Ocean Network Express Pte. Ltd. (“ONE”), Wan Hai Lines Ltd. (“Wan Hai”), Yang Ming Marine Transport Corp. (“Yang Ming”), and ZIM Integrated Shipping Services (“ZIM”) collectively, “ocean carrier Respondents” and together with Ocean Carrier Equipment Management Association, Inc. (“OCEMA”) and Consolidated Chassis Management, LLC (“CCM”), “Respondents”, submit this memorandum of law in opposition to the Complainant’s Motion for Summary Decision (“IMCC Motion”).¹

I. Introduction

In its Complaint, IMCC alleged a systematic denial of choice on the part of the ocean carrier Respondents, a system allegedly built upon Sections 5.5 and 5.7 of the CCM Operations Manual, the provisions of contracts between ocean carrier Respondents and the chassis providers (“IEPs”), and the withdrawal of ocean carriers from interoperable pools. This alleged conspiracy supposedly produced lower carriage haulage (“CH”) chassis usage rates for the ocean carrier Respondents and resulted in higher merchant haulage (“MH”) chassis usage rates for motor carriers. The record demonstrates that these arguments are baseless, so IMCC now attempts to give the evidence a new spin. Nevertheless, IMCC’s Motion is without merit.

¹ Where appropriate, references will be made herein to the evidence cited in Respondents’ Memorandum of Law (“Respondents’ MOL”) in order to avoid repetitive statements, arguments and citations to evidence.

As a threshold matter, IMCC has not met its burden of proof in establishing subject matter jurisdiction.²

With respect to its substantive arguments, IMCC now concedes that instead of resulting in a systematic denial of choice, Sections 5.5 and 5.7 of the CCM Operations Manual have resulted in a variety of ocean carrier business models with respect to the provision of chassis and that choice requests are generally granted.

Faced with overwhelming evidence that IEPs ultimately decide how and where to deploy their chassis, IMCC no longer argues that ocean carrier Respondents withdraw from interoperable pools. IMCC instead argues that ocean carrier Respondents behave unreasonably by entering into chassis usage agreements with IEPs that permit the IEPs to withdraw from interoperable pools. IMCC also now argues that participation in the Pool of Pools is violative of the Act in the absence of unfettered choice for motor carriers. The logical conclusion of these arguments is that the Act, which does not regulate IEPs, should somehow be extended to require ocean common carriers to compel IEPs to contribute their chassis to interoperable pools, and leave them there indefinitely.

And, confronted with the reality that ocean carrier Respondents play no role in establishing the charges assessed for chassis used in MH moves, IMCC argues that provisions of the agreements between ocean carrier Respondents and IEPs create “incentives” for the ocean carrier Respondents to switch cargo to MH. These arguments are unsupported by the record, which shows that cargo interests determine whether their shipments move via CH or MH, and that these incentives are largely ignored by and do not influence the behavior of the ocean carrier Respondents. Indeed, the record shows that chassis costs are negligible in terms of ocean carrier Respondents’ cost

² See also, Respondents’ Motion for Summary Judgment, Point V, which discusses in detail why IMCC’s Complaint should be dismissed for lack of subject matter jurisdiction.

structure, thereby undermining any claim that Respondents have a “profit motive” to engage in the conduct that is alleged.

Whereas the Complaint alleges motor carrier damages of up to \$1.8 billion, the record tells a radically different story. The evidence indicates that, not only were these exorbitant damages completely unsupported, but that motor carriers actually profit from chassis usage charges and would stand to profit more if they get their way.

Finally, IMCC’s Motion seeks relief that the Commission lacks the authority to grant. On the basis of evidence with respect to the provision of chassis in just four (4) locations, IMCC is effectively seeking an FMC order that would require ocean carriers, marine terminal operators, and IEPs to establish interoperable chassis pools at all ports and inland terminals nationwide.

The record shows that the current system of chassis provision is the product of reasonable business judgment and is no more restrictive than necessary to ensure an adequate supply of chassis throughout the United States. IMCC’s arguments otherwise are based on conjecture, not facts. IMCC’s Motion must be denied.

II. Argument – Complainant’s Motion Should Be Denied

A. The Federal Maritime Commission Lacks Subject Matter Jurisdiction

Respondents’ Motion sought dismissal of the Complaint on multiple grounds, one of which was that the Federal Maritime Commission does not have subject matter jurisdiction because (1) the Shipping Act of 1984, as amended (the “Act”) does not regulate the ownership, leasing and utilization of chassis; (2) the FMC lacks authority to regulate IEPs and motor carriers in connection with chassis (especially those used in merchant haulage (“MH”)); and (3) the FMC lacks statutory authority to remedy every allegation of misconduct against unregulated Parties.

IMCC has the burden of establishing that subject matter jurisdiction exists. *Crocus Investments, LLC v. Marine Transports Logistics, Inc.*, 1 FMC 2d 403 (FMC 2019). Yet, it has

failed to carry that burden. Despite the fact that subject matter jurisdiction was challenged earlier in this proceeding and assumed to exist at the pleading phase, IMCC makes only the most cursory assertion that such jurisdiction exists here at the merits phase. This is insufficient to overcome the arguments supporting dismissal for lack of jurisdiction, as set forth in detail in Respondents' Motion. The FMC does not have subject matter jurisdiction, so IMCC's Motion should be denied, the Respondents' Motion should be granted, and the Complaint accordingly dismissed.

B. Sections 5.5 and 5.7 of the CCM Operations Manual Are Neither Unjust Nor Unreasonable

IMCC's Motion glibly mischaracterizes sections 5.5 and 5.7 of CCM's Operations Manual as a "Denial of Choice" program. The phrase is misleading and too clever by half.

Respondents' Motion affirmatively addressed allegations in the Complaint which asserted that application of sections 5.5 and 5.7 of the CCM Operations Manual prevented motor carriers from exercising choice and that these sections violated the Act. (Respondents' Motion, ¶VI. E. 1) We now address Points B. 1 and 2 of the Argument in IMCC's brief which assert that application of Rules 5.5 and 5.7 "unnecessarily restrict choice" and "are more restrictive than necessary".

1. Sections 5.5 and 5.7 Do Not Restrict Choice

IMCC misstates the evidence with respect to the ocean carrier Respondents under the "Factual Background" section of its Motion, by tacitly criticizing the business models of Hapag-Lloyd, Yang Ming, Wan Hai and ZIM, asserting they "claim to always (or nearly always) grant a request for an exception." (IMCC MOL, pp. 10-11) However, IMCC fails to mention that there is no evidence in the record of a choice request being denied by these ocean carriers and furthermore fails to mention that its own expert, Dr. Jean Paul Rodrigue, favorably cited the business models of Hapag-Lloyd, Yang Ming and ZIM, stating: [REDACTED]

[REDACTED]

[REDACTED] (CX0001423, ¶112)

When questioned about this, Dr. Rodrigue testified: [REDACTED]

[REDACTED] (Rodrigue Dep., p. 137, l. 11 – 15, APP0515).

IMCC claims that Rules 5.5 and 5.7 give ocean carrier Respondents the “unfettered right to veto a motor carrier’s or BCO’s selection of MH chassis.” This assertion is disingenuous because it overlooks both the law and the facts.

Under the law, the Commission defers to commercial parties’ “reasonable, discretionary business decisions.” *Maier v. PANYNJ*, 33 S.R.R. at 853 And, while the IMCC may disagree with the differing business models that the various ocean carrier Respondents have employed, the evidence shows that Rules 5.5 and 5.7 of the CCM Operations Manual do not result in the “systematic” denial of choice that IMCC has alleged but failed to prove. The Coates Declaration which accompanies Respondents’ Motion (Coates Declaration, ¶¶ 1-k, APP2214) and the Coates/MICP Report (CX00001545-8) describe the evidence on this issue, which is summarized below.

IMCC’s argument is also unsupported by the facts. As noted above, Hapag Lloyd, Yang Ming, ZIM and Wan Hai grant choice when requested (IMCC’s Motion admits this, p. 10-11). Further, there is no evidence in the record that these ocean carriers have denied choice requests. (Coates Declaration, ¶¶ 21 d, i and j, APP2210-13)

CMA-CGM and COSCO allow choice (IMCC’s Motion admits this at p. 10) and there is no evidence in the record that these ocean carriers ever denied choice requests. (Coates Declaration, ¶¶ 21 a and b, APP2208)

HMM and Maersk support chassis choice, but both confer with their chassis provider, DCLI, in response to choice requests from motor carriers. [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

Contrary to the assertion in IMCC’s Motion that ONE rejects or significantly delays “permission,” the evidence confirms that ONE’s policy is to grant requests for choice from motor carriers and BCOs. (Coates Declaration, ¶21h) And the circumstances which IMCC characterizes as “reject and significantly delay,” refer to choice requests that were initially deferred because ONE was in the process of re-negotiating its contract with TRAC. (IMCC Motion, p. 11) Consistent with this “reasonable, discretionary business” decision, within the meaning of *Maher*, *supra*, ONE stated in its responses that [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

Further, in a transparent attempt to distort the business models of other ocean carrier Respondents, IMCC asserts “...some ocean carriers, such as Evergreen, HMM, and MSC always (or nearly always) reject motor carrier requests for an exception or disclaim choice altogether.”

(IMCC Motion, p. 11) This is a flagrant misrepresentation of the record because Evergreen³ and MSC have unique business models which give the shipper, at the time that a shipment is booked, the option to allow Evergreen/MSD to provide the chassis at the discharge port. If that option is selected by the shipper, it pays a chassis usage charge to Evergreen/MSD, which in turn provide the chassis, without charge, to the motor carrier or the BCO which engaged it. In those instances, chassis choice is moot because Evergreen/MSD make contractual arrangements with IEPs to provide the chassis, pay the usage charges to the IEPs who provide the chassis, and make the chassis available to the motor carrier engaged by the BCO without charge.

In those cases where the shipper elects not to have Evergreen/MSD arrange to provide the chassis, the motor carrier and/or its customer are free to select the chassis provider. There is no evidence in the record of chassis choice requests being denied by Evergreen or MSD, and such requests are rare because, when Evergreen and MSD make chassis available, the motor carrier does not pay a chassis usage charge. To claim that these ocean carriers “reject motor carrier requests for an exception or disclaim choice altogether” is a gross mischaracterization of the evidence adduced about Evergreen and MSD’s business models and completely fails to support IMCC’s argument.

Thus, the evidence confirms that the ocean carrier Respondents’ conduct, which the IMCC alleges to violate the Act, was neither “systematic” nor was it impermissible, insofar as sections 5.5 and 5.7 were intended to allow flexibility, a principle the Commission has emphasized when evaluating commercial relationships. *Maier, supra*; *Ceres Marine Terminals, Inc. v. Maryland Port Admin.*, 29 S.R.R. 356, 369, 372 (FMC 2001).

³ In addition to the grounds asserted by the ocean carrier Respondents, Evergreen has independently sought summary judgment dismissing the Complaint against it based upon its business model.

2. Sections 5.5 and 5.7 Are Not Unreasonable

IMCC's attempts to argue that Sections 5.5 and 5.7 are unreasonable because of the allegedly negative impacts of these administrative rules is also flawed.

IMCC claims that these rules are used by ocean carrier Respondents to restrain competition for MH chassis, thereby increasing the cost of chassis usage fees. This argument ignores both the availability of choice and the ability of motor carriers to provide their own chassis (via ownership or long term lease). Even more significantly, this argument is not supported by any direct evidence in the record with respect to IEP price competition for MH chassis. IMCC did not seek, did not obtain, and has not introduced into the record a single piece of evidence relating to price competition (or lack thereof) among IEPs. Instead, IMCC relies on allegations that chassis usage rates for MH chassis are higher, assuming that this is due to a lack of competition among IEPs purportedly caused by the ocean carrier Respondents. There is no evidence of the type of causal relationship the IMCC implies, and this argument is defeated by Respondents' evidence that any price differentials between CH and MH chassis usage rates are attributable to long term lease commitments and volume discounts.

IMCC claims that choice allows motor carriers to negotiate "better terms and lower rates" (IMCC Motion, p. 19) and that motor carriers suffer irreparable harm when they are denied the right to determine with whom they will contract (IMCC Motion, p. 19). This argument assumes that Sections 5.5 and 5.7 restrict the ability of the motor carrier to contract with an IEP of its own choosing. This assumption is incorrect. As explained above, Sections 5.5 and 5.7 make choice possible in interoperable pools. Moreover, Sections 5.5 and 5.7 have nothing to do with a motor carrier's right to contract with an IEP of its own choosing. In fact, no motor carrier is required to use a CCM pool chassis to perform an MH move. Thus, IMCC's arguments are simply not based in fact.

Finally, IMCC once again displays the true motivation behind this proceeding when it argues that choice will elicit equipment contributions from small IEPs that otherwise could not compete with larger IEPs (IMCC Motion, p. 19). IMCC's argument reveals that its true motivation in maintaining this proceeding is to remedy the problem that NACPC, the IEP owned by the same small group of motor carriers that constitute the leadership of IMCC, is unable to compete in the present marketplace and it wants the FMC to impose a nationwide requirement on ocean common carriers, marine terminal operators, and IEPs to establish interoperable pools in all locations so that NACPC can grow its business via judicial fiat and thereby gain a competitive advantage over the other IEPs. The desire of a small group of motor carriers to increase the profitability of their investment in a chassis company is not a legitimate basis for the FMC to alter the national market for chassis.

3. Sections 5.5 and 5.7 Are Not More Restrictive than Necessary

Respondents submitted evidence that sections 5.5 and 5.7 of the CCMP Operations Manual were intended to facilitate the ability of individual ocean carriers to decide how best to permit and manage chassis choice in CCM pools. That evidence remains unrefuted. (Respondents' MOL, p. 16).

IMCC nevertheless relies upon *Distribution Services, Ltd. v. Trans-Pacific Freight Conference of Japan, et al.* 1988 WL 340659 (FMC 1988) in support of its claim that sections 5.5 and 5.7 of the CCM Operations Manual are more "restrictive than necessary." This reliance is misplaced.

In *Distribution Services*, the FMC affirmed the ALJ's initial decision holding that the tariff rules of a freight conference were an unreasonable practice in violation of the Act. The rules at issue provided for reimbursement of the costs of transloading cargo from an ocean container into containers/trailers provided by inland carriers, but stated such costs would not be reimbursed if the

transloading services were performed at the facilities of a shipper, consignee, freight forwarder, NVOCC or ocean carrier. The Complainant, Distribution Services, Ltd. (“DSL”), was an NVOCC which had its customers’ shipments transloaded at a subsidiary’s facility. The dispute arose when an ocean carrier member of the Respondent conference refused to reimburse DSL for the transloading costs it incurred, because DSL was an NVOCC. Respondent argued that the rule was necessary to prevent shippers from filing inflated claims for transloading expenses, claiming that services performed by an independent entity could be verified with an invoice; whereas, services performed by a shipper, consignee, freight forwarder or NVOCC could not, thereby giving rise to potentially unlawful rebates and false billing. The FMC, in affirming the ALJ’s finding that the rule violated the Act, noted that prevention of rebates and false billing was a “worthy objective” but held that there was insufficient proof to find that the “more intrusive methods” required by the challenged rule were necessary.

In this case, OCEMA and CCM’s current policy is as unrestrictive as possible since it allows the ocean carrier Respondents, which are members of OCEMA, to decide what their policy as to chassis choice is to be.⁴

As to the ocean carrier Respondents, the IMCC argues that “less restrictive means” than sections 5.5 and 5.7 are feasible because several ocean carrier Respondents allow open choice and sufficient chassis supplies still remained available. This simplistic argument is inapposite for several reasons.

The evidence confirms that choice requests are not common, [REDACTED]

[REDACTED]

⁴ Yang Ming resigned from membership in OCEMA effective as of October 2, 2018, and retained the right of motor carriers to request Choice. Yang Ming unconditionally allowed motor carriers to use any IEP (Micena Dep., p. 362, l. 6 – p. 386, l. 4 Es.h. 18, 25) and no longer required motor carriers to negotiate only with Yang Mings’s designated IEP provider.

[REDACTED]

Further, the examples of ocean carriers which allow open choice, that are cited by IMCC in support of its argument, involve only a few geographic regions where CCM pools are present. There is no basis to extend this principle, through extrapolation, to every region in the country.

As confirmed above, choice only arises with respect to a relatively small number of shipments. In addition, choice is not an issue with respect to CH movements, which presently constitute 45% of all cargo movements, a significant percentage. (Coates/MICP Rebuttal Report, CX00001692). It is also not an issue in locations that do not have an interoperable pool. Even in those places where there is an interoperable pool, as indicated above, the record shows that choice is requested infrequently. And, the fact that choice is usually granted when requested without affecting supply does not support the conclusion that the supply of chassis would be unaffected if all chassis were required to be provided via interoperable pools allowing choice. IMCC's experts do not opine on this issue, whereas Respondents' experts have opined on the negative impact unfettered choice would have on chassis availability. (Coates/MICP Report, CX00001554-5)

IMCC claims that the few examples of open choice that it cited should be the template for interoperable pools in every region of the country, where unfettered choice would be universally

available. (Rodrigue Initial Report, ¶112, at CX00001362 at 1423). More dramatically, IMCC seeks a ruling from the FMC in this proceeding which mandates that, in every region of the country, chassis can only be made available through interoperable pools which offer open choice. (Complaint, Request for Relief, ¶3 a-e).⁵

The relief IMCC seeks may be an optimal resolution for one class of stakeholders, i.e., the motor carriers. However, IMCC's demand ignores the business and financial interests of the other participants in the chassis provisioning system.

It also overlooks regions where entities, such as local port authorities, take the initiative to ensure chassis are made available. One example is the Hampton Roads Chassis Pool ("HRCP") in Norfolk, a region where chassis are made available through a pool operated by the Virginia Port Authority ("VPA"). Ports such as Hampton Roads can implement chassis provisioning models because they control the port facilities and can establish requirements with respect to chassis which service the port. But, unless entities such as local port authorities step up to ensure chassis are made available, the burden to ensure adequate supplies has by default landed on the shoulders of the ocean carriers. Since ocean carriers do not control the ports or rail facilities, they can only ensure the supply of chassis through one means – contracts with the IEPs.

IMCC's simplistic and overaggressive plea for a ruling from the FMC that all chassis pools must be interoperable and that unfettered choice should be allowed, ignores the realities of a complex marketplace with multiple participants which continues to evolve.⁶ Sections 5.5 and 5.7 of CCM's Operations Manual serve the intended function of allowing flexibility to individual ocean carriers to respond to conditions in the regions where CCM pools operate and, based on the

⁵ As explained below in Section I, pp. 27-30, the FMC lacks the authority to grant the relief sought by the IMCC.

⁶ The FMC also lacks authority to order IEPs to restructure the operation of their proprietary pools.

record before this court, there is no support for any claim that the ocean carrier Respondents systematically used sections 5.5 and 5.7 to deny choice in CCM pools.

IMCC has failed to meet its burden of proof with respect to the availability of a less restrictive alternative. Sections 5.5 and 5.7 of the CCM Operations Manual are not violative of the Act.

C. IMCC Has Not Demonstrated That Chassis Usage Agreements Unfairly and Unjustly Link MH Volumes with CH Prices

It remains undisputed that ocean carriers are virtually the only entities which ensure adequate supplies of chassis to meet anticipated container volumes in regions throughout the country. Ocean carriers have a significant interest in ensuring that their customers' containers arrive timely and safely at their destination and are thereafter returned to the terminal, even those moving under MH. Even though ocean carriers have no responsibility for MH shipments after they arrive at the discharge terminal, they nevertheless have a business and financial interest in, and have made provision for, sufficient chassis to meet all anticipated CH and MH volumes at geographic regions where they do business. (Lawrence Dep., p. 59, ll. 9-15, APP1594; Coates/MICP Rebuttal Report, CX00001691).⁷

Motor carriers do not accept responsibility, contractually or otherwise, to ensure any chassis supplies. Yet, Complainant feigns shock and outrage when an ocean carrier enters into a chassis usage agreement, typically after engaging in an extensive RFP process with multiple IEPs, which contains language that designates the counter-party IEP as an exclusive or preferred provider of chassis under that agreement. (IMCC Motion, Points D and E) If ocean carriers did not make contractual commitments to utilize the chassis of a particular IEP, that IEP would be less

⁷ This is not an issue of cross-subsidizing as alleged by Complainant. Rather, it is a pragmatic system of securing sufficient chassis to meet the needs of ocean carrier Respondents' customers.

likely to provide chassis at the location in question. (Lawrence Dep., p. 61, ll. 4-16, APP1595; Coates/MICP Report, CX00001542-3). IMCC has not adduced any evidence showing that ocean carriers' actions in entering into long term contracts for chassis are excessive to the end in view. IMCC's expert, Dr. Rodrigue, obliquely addresses this issue in his rebuttal report (CX00001606), stating that [REDACTED] (Rodrigue Rebuttal, CX00001612, ¶13) (emphasis added) Even if Dr. Rodrigue's opinion was adequately supported, which it is not, it does not carry the burden which IMCC must bear. That the ocean carriers might achieve the end in view some other way—*not necessarily* the way that they have chosen - is not sufficient evidence to establish that the practice is excessive.⁸

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED] And the IMCC's argument completely fails as to Evergreen, which makes chassis available without charge to the motor carrier and, as a result of doing so, [REDACTED]

[REDACTED] Since Evergreen arranges

⁸ There are numerous statements by Dr. Rodrigue with which Respondents take issue, which we do not address here.

⁹ [REDACTED]

to provide the chassis for CH and MH moves, there is no higher charge for an MH move that is allegedly borne by the motor carrier - IMCC conveniently declines to explain how its CH/MH “subsidy” theory applies to Evergreen.¹⁰

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

There is no dispute that MH rates are determined by the IEPs and there is absolutely no evidence in the record as to how IEPs calculate MH rates or that they are in some way “linked” to CH rates negotiated with ocean carriers. Notably, IMCC served subpoenas seeking this information from the IEPs but subsequently dropped its demand for documents, and did not seek any testimony addressing this issue. And, there was no evidence of this “linkage” in the ocean carrier Respondents’ productions – the theory has simply been divined by IMCC from its interpretation of chassis usage agreements.

Finally, the CH/MH “linkage” argument ignores the fact that motor carriers have options available to them by which they can avoid payment of the published MH rates that are charged by IEPs. Specifically, motor carriers can purchase chassis, enter into long term leases of chassis,

¹⁰ The same argument applies to MSC, which applies the same business model as Evergreen, makes chassis available to motor carriers without charge for MH moves, and which pays the same usage charge to its IEP regardless of whether an MH or CH move is involved.

and/or can negotiate chassis usage agreements with IEPs providing for lower daily rates based on volume usage. (Coates/MICP Report, CX00001524 at 1538 Coates/MICP Rebuttal Report, CX00001688 at 1690-1)

There is no evidence of the “linkage” alleged by IMCC between CH and MH rates.

D. Designation of an IEP for MH Movements in Chassis Usage Agreements Is Not Unjust or Unreasonable

IMCC has failed to meet its burden of proof with respect to its allegation that the designation of an IEP for MH movements in chassis usage agreements is unreasonable.

It is undisputed that the ocean carrier Respondents own or lease the containers in which international cargo is transported and have a legitimate interest in ensuring the safe and reliable delivery of those containers. This is true for CH movements for which the carrier bears responsibility for the inland move as well as MH moves for which it does not, because the customer experience with both types of moves impacts the reputation of the ocean carrier in the eyes of the customer.¹¹ There also is no dispute that the IEPs own (or lease) the chassis that are used to move the containers. Ocean carrier Respondents therefore contract with IEPs to ensure that the IEPs will provide an adequate supply of chassis at ports and inland terminals to service the needs of the ocean carrier Respondents’ customers. The record demonstrates that this chassis provisioning system properly reflects the reasonable, good faith judgments that were made by the participants in the chassis market and that the challenged practices and regulations are just and reasonable within the meaning of the Act.

¹¹ Certain provisions of pending legislation could potentially be interpreted as imposing a legal obligation on ocean carriers to ensure a sufficient supply of chassis. See, Section 9(a)(4) of H.R. 4996 (making it unlawful for a common carrier to fail to furnish or cause a contractor to fail to furnish containers or other facilities and instrumentalities needed to perform transportation services).

In this regard, the Commission respects and gives deference to the parties' exercise of reasonable business discretion. The Commission has recognized that commercial arrangements which "appear[] financially attractive and congruent with [a party's] long term development strategy" are evidence of reasonable business discretion. (*Seacon Terminals, Inc. v. Port of Seattle*, 26 S.R.R. at 899). See *Maher Terminals, LLC v. PANYNJ*, 33 S.R.R. 853 (Commission declined to investigate claims of unreasonableness by engaging in complicated economic analysis since the complainant's rent was "reasonable related to the benefits it received from its lease").

The Commission also has emphasized the need for flexibility when evaluating commercial relationships:

Importantly, the Commission has evaluated reasonableness in a commercial context, stating that parties should be afforded "discretion to exercise business judgment," including "when imposing [] fees." *Ceres Marine Terminals, Inc. v. Maryland Port Admin.*, 29 S.R.R. 356, 369, 372 (FMC 2001) ("The Commission is not responsible for ensuring that everybody makes a good deal - just that the commercial environment is not hampered by unreasonable or unjustly discriminatory practices."). See also *Maher v. PANYNJ*, 33 S.R.R. at 853 (noting that the Commission defers to commercial parties' "reasonable", discretionary business decisions.") (citing *Seacon Terminals, Inc. v. Port of Seattle*, 26 S.R.R. at 899).

Thus, the ocean carrier Respondents and IEPs' judgments and decisions as to how to ensure a sufficient supply of chassis for CH and MH moves are entitled to deference.

IMCC has failed to meet its burden of proof and to overcome this deference. IMCC challenges the provisions of ocean carriers' chassis usage agreements that designate counter-party IEPs as the preferred chassis providers for MH moves on the grounds that they restrict chassis choice since they allow ocean carriers to use the choice rules in CCM pools to deny choice. However, this challenge is not supported by the record. Indeed, in its Motion, IMCC abandons the central allegation of its Complaint, that the ocean carrier Respondents engage in "systematic denials . . . of motor carrier requests for non-default chassis usage." Complaint, ¶¶ 3(b), 74. IMCC

now admits that “Respondent ocean carrier policies differ significantly with respect to allowing MH chassis choice” and many of those policies “allow chassis choice” either “without the need for approval” or “always (or nearly always) grant a request for an exception.” (IMCC Motion, pp. 10-11) As noted by Mr. Coates, the few examples relied upon by IMCC where requests for choice were not approved, “appear to be the exception rather than the rule, and represent a very small number of the millions of container moves into and out of the U.S. each year.” (Coates Declaration, ¶21). See also Section B above.

E. The Withdrawal Of IEPs From Interoperable Pools Does Not Constitute a Violation of the Act By Respondents

IMCC originally alleged that the withdrawal by ocean carrier Respondents from interoperable pools restricted choice and thus constituted an unreasonable practice. (Complaint, ¶¶ 3(d), 51-53, 78) In addition to the logical flaw in arguing that virtually anything which could be interpreted as restricting choice is unreasonable, IMCC’s argument is also flawed in that it is not supported by the record.

The record demonstrates that IEPs, not ocean carriers, join and/or withdraw from interoperable pools. See Coates Declaration at ¶ 28. In practice, IEPs make business decisions about whether to serve their ocean carrier customers at a particular location via an interoperable pool or a proprietary pool. The ocean carrier customer may have input into how it is served, or it may have no choice but to go along with the decision of the IEP. (Compton Dep., p. 163, l. 4 – p. 164, l. 3, APP0749-50; Fentress Dep., p. 185, l. 3 – p. 186, l. 12, APP0410-11).

Faced with the unpleasant reality that the undisputed facts do not support the allegations of its Complaint, IMCC has pivoted, inartfully, and now argues in its Motion that the unreasonable practice consists of the ocean carrier Respondents’ entering into contracts with IEPs that permit the IEPs to withdraw from interoperable pools. Those contractual provisions, IMCC asserts, can

lead to the collapse of interoperable CCM pools which creates inefficiencies for its motor carrier members. (IMCC Motion, Point E) IMCC's concern is that the designation of a non-interoperable IEP proprietary pool in chassis usage agreements denies the benefits of interoperability allegedly gives the IEPs pricing power over MH movements. This argument is untenable.

As an initial matter, IMCC's challenge is based on the false premise that the interoperable gray pool model is the most efficient system and is more financially lucrative for motor carriers and, therefore, the only lawful chassis provisioning model under the Act. Thus, IMCC asserts, the Commission should dictate that the interoperable gray pool model is mandatory and the only proper chassis provisioning system. However, as the ALJ noted in her January 29, 2021 Order Denying Respondents' Motion For Leave to Appeal, Complainant bears the burden "to establish that the regulations and practices are unreasonable," not merely that they are not the most efficient. Order, at 6. Indeed, as Mr. Coates explained, there are "different operational situations where the actual dynamics are going to either favor or not favor interoperable pools." Coates Dep., pp. 180-181. IMCC's concerns are motivated strictly by its members' financial interests, not what is best for all of the participants in the supply chain.¹²

Respondents are unaware of any provision of the Act which would require a regulated entity such as an ocean common carrier to structure its business relationships with one unregulated entity (IEPs) in the manner most favorable to a second unregulated entity (motor carriers). Moreover, taken to its logical conclusion, IMCC's argument is that the Commission has the jurisdiction and legal authority to require IEPs (over which the Commission has no jurisdiction) to contribute their assets to interoperable chassis pools and to leave those assets in such pools, lest

¹² In addition, as noted elsewhere in this response, the FMC lacks the statutory authority to order ocean carrier Respondents and/or the IEPs to construct and operate interoperable pools.

the withdrawal of the assets have some impact on motor carriers. Such an argument is unprecedented and has no basis in existing law.

F. IMCC's Argument With Respect to the Pool of Pools is Flawed

IMCC's argument with respect to the Pool of Pools is flawed, and does not support a summary decision in favor of IMCC.

IMCC's complaint alleged that the ocean carrier Respondents adopted and enforced "box rules" that prevent chassis choice in the Pool of Pools. Complaint, ¶¶ 3(c), 56. The undisputed facts confirm that the rules governing the operation of the Pool of Pools are established and enforced by the IEPs that operate the Pools of Pools, and not by the ocean carrier Respondents. In light of the lack of factual support for its original argument, IMCC once again changes direction and argues that the unlawful conduct on the part of the ocean carrier Respondents is not establishing the rules governing the Pool of Pools, but failing to force the IEPs (who are not subject to the Act) to change the rules.

In its Motion, IMCC actually takes the position that ocean carriers should not procure chassis from the Pool of Pools under existing contracts. IMCC suggests that ocean carriers must either forgo chassis usage from the only sizeable chassis pool serving the largest port system in the U.S. or breach existing contracts wherein ocean carriers have secured guarantees that IEPs will maintain a sufficient supply of chassis to support their operations, both CH and MH, at the Ports. (IMCC Motion 25-26) Whether IMCC would have ocean carriers boycott the Pool of Pools entirely or forfeit the benefits secured in their contracts with IEPs is unclear. Regardless, this line of argument both fails to even allege excessive conduct and simply articulates a motor carrier solution in search of an ocean carrier problem. IMCC also conveniently ignores the fact that when performing MH moves, no motor carrier is required to use a chassis from the Pool of Pools.

IMCC concedes that the three major IEPs own the vast majority of chassis in the U.S (JSOF 195); that IEPs control chassis usage and the operational rules in the Pool of Pools (Complainant's SUMF #48); and that IEPs secured a Business review Letter from the DOJ with respect to the operation of the Pool of Pools prior to initiating operations. (JSOF 196)

Despite these concessions, IMCC proposes that the FMC disturb the DOJ's stated position that the Pool of Pools was unlikely to produce anticompetitive effects in favor of motor carriers.¹³ Such FMC action would intrude on the DOJ's antitrust oversight over parties that are neither regulated by the FMC nor included in this litigation.

Of note, IMCC attacks the Pool of Pools despite the fact it is an interoperable pool of the type otherwise lauded by the IMCC for the efficiencies it affords motor carriers. This reveals IMCC's true motives, which are not the efficiencies allegedly offered by interoperability, but a government-mandated system that benefits motor carriers and enables NACPC to compete where it would otherwise not be able to do so.

Further, IMCC seeks FMC intervention that would invent and impose a new and unprecedented duty on ocean carriers to structure business relationships with entities not subject to FMC jurisdiction in favor of motor carrier interests. The FMC not only lacks this authority but would be acting to the detriment of the shipping public and in conflict with the DOJ's position.

IMCC's proposed solution also ignores practical consequences to the shipping public. Specifically, barring ocean carriers from enforcing their contracts would eliminate the only chassis supply guarantees in the region – guarantees which cover chassis use for nearly all of the containers processed through the Ports for both CH and MH shipping. Not only would this extraordinary

¹³ The DOJ Business Review Letter is available here: <https://www.justice.gov/atr/response-flexi-van-leasing-inc-and-direct-chassislink-inc-request-business-review> and is premised on representations in the letter from FlexiVan and DCLI which is available here: <https://www.justice.gov/sites/default/files/atr/legacy/2014/09/23/308850.pdf>.

move ignore the real interests of non-parties in this litigation, the IEPs,¹⁴ but it would prioritize alleged motor carrier interests over the real interests of the shipping public in maintaining supply chain fluidity at the Ports.

Ocean carriers have rightly prioritized their interests in securing an adequate chassis supply from the Pool of Pools at competitive prices in order to support the interests of the shipping public and legitimate business interests that have been historically recognized by the FMC. (*See, Seacon Terminals; Maher Terminals; Ceres, supra*).

IMCC proposes a nonsensical solution that would disserve the shipping public by eliminating chassis supply guarantees secured by ocean carriers on behalf of the shipping public. Furthermore, IMCC's requested remedy would bind the hands of ocean carriers while giving IEPs unchecked leverage in the Pool of Pools. IMCC has not met its burden here because it has failed to demonstrate – and has not even alleged – that any particular ocean carrier conduct is unreasonable or unjust as it relates to the Pool of Pools.

G. IMCC Has Failed to Show That Respondents Have Proximately Caused Harm to Motor Carriers

IMCC's Motion must be denied because IMCC has failed to carry its burden to show that Respondents have proximately caused harm to motor carriers or to the shipping public.

The Complaint claims that Respondents' allegedly unlawful conduct caused damages of as much as \$1.8 billion during the three years prior to the filing of the Complaint. (Complaint, ¶82) After this figure received widespread media attention following the filing of the Complaint, IMCC quietly clarified that it was not seeking recovery of damages in this proceeding. The reason for

1

See Bates TCW_00009182-TCW_0009184, APP2140-42.

this is now apparent: the \$1.8 billion figure was pure fiction. Testimony from the IMCC confirmed that [REDACTED] [REDACTED] (Coates Declaration, ¶¶29-33, APP2217-18; Coates/MICP Report, CX00001550- 4).

Faced with the failure of the damage claim articulated in the Complaint, IMCC fell back on a new post hoc theory late in the litigation. Pointing to different speculative calculations by its economist, Dr. Langenfeld, IMCC claims the *status quo* harms motor carriers and the shipping public [REDACTED] The shortcomings in Dr. Langenfeld's analysis are described and disposed of in the accompanying Declaration of Dr. James Reitzes. Neither the original damages allegation nor the calculation advanced by Dr. Langenfeld, are supported by the *actual facts* in the record.

Indeed, IMCC has no *factual* response to the evidence showing that IMCC members do not pass on lower chassis charges to their customers when the motor carriers pay less to IEPs for chassis. Instead, [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

IMCC's attempt to distract attention by relying on *In Re Vehicle Carrier Services* and *Hanover Shoe* strains credulity. Respondents are not advancing a "pass through" defense. Respondents are not attempting to argue that the motor carriers lack standing to bring claims for alleged overcharges because they obtained reimbursement. Rather, Respondents are arguing that because the evidence demonstrates IMCC members do not pass on lower chassis costs to their customers, but instead substantially profit from the alleged difference in rates, this is a factor to be considered in determining whether Respondents are causing the alleged harm at all. This is an important factor to be considered in assessing the reasonableness of Respondents' conduct, the reasonableness of the conduct of the motor carriers, and the credibility of the arguments being made by the IMCC.¹⁵

Perhaps cognizant of this Achilles heel in their case, IMCC has taken pains to try and argue that the mere "*status quo*" harms the shipping public. This claim rings hollow for three reasons.

First, as noted above, ocean carrier Respondents do not establish, discuss, or agree on chassis usage charges for MH moves – that is done exclusively by the IEPs without ocean carrier involvement.

Second, the shipping public is not harmed by the conduct of Respondents because the shipping public benefits from (a) the widespread availability of chassis made possible by the ocean carrier contracts with the IEPs and (b) beneficial rates for CH moves (which account for approximately half of all cargo movements). Even assuming *arguendo* that the shipping public is harmed in MH moves in some fashion, the mark-ups imposed by the motor carriers on their

¹⁵ [REDACTED]

customers raise the question of how much of that alleged “harm” is caused by the *status quo* and how much by the mark-ups of the motor carriers.

Third, it is simply not credible that motor carriers are pursuing this case in order to protect the shipping public. According to its website:

The IMCC mission statement directs the conference to provide a stronger, more unifying and effective voice for the large and growing intermodal motor carrier sector before both government and private entities on key issues including roadability, economic and operational fairness and infrastructure efficiencies.

<https://www.trucking.org/intermodal-motor-carrier-conference>.

In light of the foregoing, IMCC has failed to meet its burden that anyone has suffered Shipping Act harm under the *status quo*. Accordingly, the *status quo* should not be found to be unreasonable and IMCC’s motion should be denied.

H. IMCC Concedes That IEPs Are Indispensable Parties

A more complete record has now been developed which demonstrates that the IEPs are necessary and indispensable parties. Respondents have accordingly moved to dismiss this action for failure to include indispensable parties namely, the IEPs (*see also*, pp. 15-19 of the Memorandum of Law in Support of Respondents’ September 18, 2020 Motion to Dismiss). The arguments advanced in Respondents Motion, seeking dismissal on these grounds, will not be reiterated.

However, it should be emphasized that, in section F of the Argument in IMCC’s Motion, Complainant criticizes the lack of choice in the PoP, and attempts to lay blame at the feet of the ocean carrier Respondents for a shortcoming that IMCC itself attributes to the IEPs, claiming “Ocean carriers (unlike chassis providers) have an affirmative obligation to the shipping public to maintain just and reasonable practices.” (IMCC Motion, p. 25-6) In footnote no. 18 to that argument, IMCC goes on to state: “At the relief phase, IMCC will seek to tailor the injunction to

allow all parties enough time to construct a POP that allows MH chassis choice.” This statement constitutes an admission by IMCC that the participation and agreement of the IEPs will be needed in order to “construct a POP that allows chassis choice” and that these entities are therefore necessary and indispensable parties to this action.

A similar problem is presented in other locations where there are no interoperable CCM pools, such as Chicago. If the Act is found to in fact prohibit ocean carrier Respondents from contracting with a non-CCM pool, then all chassis supply options in the Chicago area are unlawful. Such a ruling would require the IEPs to close their proprietary pools and contribute to new, interoperable pools.¹⁶

For this reason, in addition to those articulated in Point VI of Respondents’ MOL (p. 26-9), the IEPs are necessary and indispensable parties to this proceeding who are not subject to the jurisdiction of the FMC. This is another reason why the IMCC’s Motion should be denied, Respondents’ Motion should be granted, and the Complaint dismissed.

I. IMCC Seeks Relief That Cannot Be Granted and/or Is Unjustified

The IMCC’s Motion must be denied because it seeks relief that cannot be granted and/or is unjustified. In this regard, the IMCC is seeking more than a finding that the conduct of Respondents violates the Act and an order to cease and desist from that conduct. Footnote 18 on page 26 of the IMCC’s Motion indicates that the relief sought includes a requirement that ocean carriers and IEPs provide chassis through interoperable pools that offer choice for MH movements. As explained below, such relief is beyond the authority of the FMC to grant and/or unwarranted.

Prior to 1984, the statutory provision governing the reasonableness of regulations and practices was Section 17 of the Shipping Act, 1916 (46 U.S.C. §816), which read:

¹⁶ IMCC’s argument creates the same issue for any single provider pool, including those run by port authorities.

Every other person subject to this act shall establish, observe, and enforce just and reasonable regulations and practices relating to or connected with the receiving, handling, storing, or delivering of property. Whenever the board finds that any such regulation or practice is unjust or unreasonable it may determine, prescribe and order enforced a just and reasonable regulation or practice.

(emphasis added). The foregoing is the predecessor of current 46 U.S.C. §41102(c)(formerly section 10(d)(1)), which reads:

A common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.

Thus, prior to 1984 the FMC had the authority to prescribe just and reasonable regulations and practices. However, when Congress replaced the Shipping Act, 1916 with the Shipping Act of 1984, it eliminated the Commission's authority to determine, prescribe, and order enforcement of a just and reasonable regulation or practice. This means the FMC can determine in an adjudicatory proceeding when a regulation or practice is unreasonable, but lacks the authority to prescribe specific just and reasonable practices in an adjudicatory setting. Accordingly, the FMC lacks the statutory authority to prescribe the relief sought by the IMCC, and the IMCC's Motion must be denied.

In addition to lacking the authority to require specific practices from regulated entities via adjudication, the Commission also lacks authority to require such practices from entities that are not subject to the Act. As explained in Section H (pp. 26-7) of this response and Point VII of Respondents' MOL, the IEPs are not subject to the Act or FMC jurisdiction, are not parties to this case, and the FMC has no authority to prohibit or require any conduct on the part of the IEPs. Thus, the relief sought by the IMCC cannot be granted by the FMC.

The IMCC's request for relief also goes beyond the scope of the record in this proceeding. The record focuses on four geographic locations: Chicago, Memphis, the South Atlantic, and Los Angeles/Long Beach. Discovery was initially limited to these locations in an effort to streamline

and reduce the burden of discovery. However, as Respondents stated in the March 1, 2022 Joint Status Report:

The limitation on discovery to the geographic areas of Los Angeles / Long Beach, Savannah, Chicago and Memphis has been a one way street for the IMCC because it has used this limitation as a shield to prevent discovery from motor carriers who hold ownership interests in NACPC and are members of the IMCC but do not operate in those geographies. Now that they have the benefit of this “streamlining”, the IMCC seeks to apply the limited discovery conducted in this case to every geographic area of the country. Notwithstanding our disagreement with IMCC with respect to the “limitations on certain categories of initial Party discovery,” the limitation did not limit the scope of Respondents’ defenses. Complainants have the burden of proving its alleged violations wherever the Complaint alleges that violations occur, and Respondents reserve their rights to defend those allegations in all respects, including but not limited to, challenging the applicability of IMCC’s evidence and arguments in each specific region in the U.S. that IMCC seeks to allege violations of the Shipping Act.

March 1, 2022 Joint Status Report, p. 4. The fact that discovery was ultimately limited to certain locations – at IMCC’s vehement insistence - does not mean those locations are appropriate proxies for every port and location in the United States. Even IMCC’s expert witness, [REDACTED]

[REDACTED]

[REDACTED]

Although IMCC failed to develop any meaningful evidence in the record regarding any other location beyond just four regions, the record plainly establishes that there are significant geographic and market differences in the many different chassis supply regions in the United States. Yet, the IMCC would have the FMC declare that the Act requires interoperable pools with unfettered choice in all markets nationwide. The fact that a “one size fits all” national remedy should not and cannot be imposed in this proceeding is emphasized by legislation passed by the U.S. Senate. Section 19 of S. 3580 (117th Cong. 2nd Sess.) calls for a study of chassis pool

practices. Where Congress is calling for a *study* of what practices may be appropriate, the FMC should not interpret the Act as *already* requiring interoperable pools with unfettered choice nationwide.¹⁷

Finally, the IMCC's argument that the ALJ can defer the issue of a remedy until a later phase of this proceeding must be rejected. IMCC cites no legal authority for this proposition. Even if such authority exists, such bifurcation is not appropriate in this case. This is not a case where monetary damages can be determined separately following a finding of liability. Rather, the issue of a remedy is inextricably intertwined with the issue of whether liability exists in the first instance and whether the remedy sought is itself reasonable or unreasonable.

III. Conclusion

For the foregoing reasons and those set forth in Respondents' Motion for Summary Judgment, Complainant's Motion for Summary Decision should be denied, Respondents' Motion for Summary Judgment should be granted and the Complaint should be dismissed.

Respectfully submitted,

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¹⁷ And particularly not on the basis of an evidentiary record relating to a small number of geographic locations.

¹⁸ Other than Hapag-Lloyd AG and Yang Ming Marine Transport Corporation.

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